25901221 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSEECOA01 - INVESTMENT ENVIRONMENT AND PORTFOLIO MANAGEMENT STRATEGIES

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Short Answer Questions

Answer any **10** questions

Each question carries **2** marks

1. Explain the basic function of options in derivatives. [U] / [CO1]
2. List factors affecting beta. [K] / [CO2]
3. Define beta in the CAPM equation. [K] / [CO3]
4. List types of options. [K] / [CO4]
5. Explain the parties in a swap contract. [U] / [CO3]
6. What is the time frame typically associated with speculation? [U] / [CO1]
7. List roles of derivatives in portfolios. [K] / [CO2]
8. Explain the slope of the CML. [U] / [CO3]
9. Define portfolio manager under SEBI. [K] / [CO3]

10. Define variance. [K] / [CO2]

11. What role does personal financial goals play in selecting investments? [U] / [CO1]

12. What is diversification principle? [U] / [CO3]

13. What is the Dow Jones Theory? [K] / [CO3]

14. Define portfolio selection. [K] / [CO4]

15. What is the assumption regarding investor behaviour in CAPM? [U] / [CO3]

[2x10 = 20]

Part B

Short Essay Questions

Answer any **6** questions

Each question carries **5** marks

16. Outline the steps involved in the investment process. [U] / [CO1]

17. Outline the stages of managing a portfolio. [U] / [CO3]

18. Compare Sharpe's Ratio and Treynor's Ratio. [An] / [CO4]

19. Describe the mechanism of futures trading. [U] / [CO4]

20. Describe the steps involved in portfolio evaluation. [U] / [CO4]

21. Discuss the roles and functions of investment banks, including concepts like NASDAQ and depository settlement. [U] / [CO1]

22. Analyze the process of risk profiling. [An] / [CO2]

23. Explain how Jensen's alpha is calculated. [U] / [CO4]

24. Analyze the benefits of regular portfolio rebalancing. [An] / [CO4]

25. Discuss the meaning of risk and its types. [U] / [CO2]

[5x6 = 30]

Part C

Essay Questions

Answer any **2** questions

Each question carries **10** marks

26.	Describe in detail the criteria for investment and the various types of investors.	[U] / [CO1]
27.	Evaluate the role of diversification in modern portfolio theory.	[An] / [CO2]
28.	Explain the Efficient Market Theory and its three forms.	[U] / [CO4]
29.	Explain portfolio management and wealth management and bring out their differences.	[U] / [CO3]

[10x2 = 20]